

the value of your financial investments. By doing this exercise, you will get a comprehensive picture of your true net worth and not just a partial view. In many cases, your (limited, narrow) financial investments might have declined in value, but your human capital might have increased by much more. In other cases, it will be the other way around. Either way, it is the sum of the financial capital and human capital, together with the value of your house and other nonfinancial assets, that should truly matter for your financial decisions and well-being.

The concept of human capital as a driver and motivator of household economic decisions was popularized by Professor Gary Becker from the University of Chicago, who was awarded the 1992 Nobel Laureate in Economics. Back in 1964 he published a book with the simple title, *Human Capital*, in which he argued the importance of education in promoting economic development. In his work, using U.S. census data, he documented that the rates of return from investing in education were substantial. His analysis showed that not only was it worthwhile to invest time and effort in acquiring and refining one's education, but also it was a key differentiator of economic success in different countries.

His path-breaking analysis, which was considered rather controversial at the time, was one of the first to justify human capital as a legitimate asset class. At the time, many viewed an advanced college or university education as a luxury item that only the rich could afford. What Professor Becker showed was that spending on education was best viewed as an investment as opposed to consumption or expenditure.

So, for example, if you decide to become a brain surgeon, you invest some 15 years of your life, along with the forgone wages during that time, to develop a gold mine of human capital invested in the medical industry. As a newly minted medical resident, you have few financial assets and likely a large debt from financing the education, but the value of your human capital will be in the millions. If, on the other hand, you opt to enroll in a six-month course in auto mechanics, you invest little human capital. Although this investment might lead to positive cash flow relatively soon, it is not associated with much income stability. The rate of return on "cheap" human capital, when you don't invest much time and effort in developing that human capital, should be quite low.